

- ¹ The P/E ratio measures the market price of a company's stock relative to its corporate earnings, which can then be compared with other companies.
- ² The price-to-book ratio (P/B Ratio) is a ratio used to compare a stock's **market value** to its **book value**. It is calculated by dividing the current **closing price** of the stock by the latest quarter's **book value** per share.
- ³ P/E ratio is computed as DCF based fair value divided by Year 1 earnings, i.e. PE ratio of Company X = Rs 5,00,000/Rs 1,00,000 = 5 and PE ratio of Company Y = Rs 7,50,000/Rs 1,00,000 = 7.5.
- ⁴ PEG ratio is computed as PE divided by earnings growth rate, i.e. PEG ratio of Company X = 5/5 = 1.0; and PEG ratio of Company Y = 7.5/5 = 1.5.